Harbor Street Bakery - Second location expansion

Executive Summary

Established artisan bakery seeking a 180,000 USD loan to open a second location 2.5 miles from our current store. We have operated profitably for 4 years.

Problem

Our current store is at capacity: we sell out of bread by 11am on weekends and turned away an estimated 90 wholesale inquiries last year due to oven capacity.

Market

Target neighborhood has 22,000 residents with median household income of 78,000 USD (census data attached). Two competing bakeries are within 2 miles; neither offers sourdough or wholesale. A customer survey of 310 existing patrons showed 64 percent live within 3 miles of the proposed site.

Business Model

Retail plus wholesale to 6 cafes already on a waiting list. Current store revenue 612,000 USD last year, net margin 11 percent. New site projected at 70 percent of first-store revenue in year one.

Financials & Funding Ask

Buildout 95,000 USD, equipment 55,000 USD, working capital 30,000 USD. Lease terms attached (3,900 USD/month). Loan repayment of 3,600 USD/month against projected 9,500 USD/month incremental operating profit at 70 percent revenue. Breakeven at 48 percent of first-store volume. Tax returns for 3 years available.

Team

Owner-baker has 12 years experience; head baker has been with us 4 years and will manage the new site. A part-time bookkeeper maintains monthly financials.

Risks

Staffing and ingredient price volatility; contingency of 15 percent included in buildout.